Magna Carta Mains 2026

Mains Concise Note (MCN) 88 : India's Development Models

"Development model" refers to the distinct combination of state role, ownership pattern, resource allocation mechanism, and social priorities that a country (or a sub-national unit) adopts to convert economic growth into human welfare.
In India, the debate is two-layered:

- National-level models — the successive macro-development strategies adopted by the Union since 1947 (Nehruvian planning → structural reforms of 1991 → inclusive-growth phase → present cooperative-federalism/PLI-led phase).
- Sub-national or "state" models — divergent development paths chosen by individual states (Kerala, Gujarat, Tamil Nadu, Bihar, etc.), reflecting India's quasi-federal structure and Seventh Schedule division of subjects.

National-Level Development Models: An Evolution

- **The Nehruvian State-Led / Mahalanobis Model (1951–1991)**
  - **Framework**:
    - Five-Year Plans under the Planning Commission (est. 1950); Second Plan (1956) built on the Mahalanobis strategy of prioritising heavy industry and capital goods under state ownership;
    - Industrial Policy Resolutions of 1948 and 1956 reserved commanding heights for the public sector;
    - License-Permit-Quota Raj regulated private investment.
  - **Rationale:**
    - Post-colonial capital scarcity, distrust of private monopoly power, and the need for rapid capital-goods self-sufficiency in a world where India could not rely on inflows.
  - **Achievements:**
    - Built the industrial and scientific base (steel plants at Bhilai, Rourkela, Durgapur); IITs;
    - Green Revolution infrastructure via public irrigation and agricultural research.
      - Public investment in HYV seeds, irrigation, and MSP-backed procurement.
  - **Issues:**
    - Low "Hindu rate of growth" — GDP growth averaged roughly 3.5% annually between the 1950s and late 1970s, barely above population growth, a phrase coined by economist Raj Krishna.
    - Inefficiency of public sector undertakings, chronic capital misallocation via industrial licensing, and rent-seeking under the License Raj.
    - Balance of payments fragility, culminating in the 1991 crisis when forex reserves fell to under $1 billion, barely enough to cover roughly two weeks of imports.
    - Neglect of labour-intensive light manufacturing and exports relative to East Asian peers.
- **Liberalisation, Privatisation, Globalisation (LPG) Model (1991–2004)**
  - **Framework:**
    - The 1991 reforms under P.V. Narasimha Rao and Finance Minister Manmohan Singh dismantled industrial licensing for most sectors, devalued the rupee, opened current-account convertibility, reduced tariffs, and permitted FDI in a widening list of sectors.
  - **Achievements:**
    - GDP growth accelerated to an average of roughly 6% per annum through the 1990s and 2000s; I
    - ndia's IT and BPM sector emerged as a global services exporter;
    - foreign exchange reserves rose from under $1 billion in 1991 to over $300 billion by the mid-2000s.
  - **Issues:**
    - Jobless/uneven growth — growth concentrated in capital- and skill-intensive services, while organised manufacturing employment grew slowly; agriculture's employment share fell much faster than its output share, trapping surplus labour in low-productivity farming.
    - Rising inter-state and rural-urban inequality, as reform benefits concentrated in western and southern states with pre-existing infrastructure and human capital.
    - Fiscal stress and incomplete second-generation reforms — land, labour, and factor-market reforms lagged behind product-market liberalisation for over two decades.
- **Inclusive Growth Model (2004–2014)**
  - **Framework:**
    - Rights-based welfare architecture layered atop continuing liberalisation: MGNREGA (2005) guaranteeing 100 days of rural wage employment, Right to Education Act (2009), National Food Security Act (2013), Right to Information Act (2005), Forest Rights Act (2006), and continuation of the Eleventh and Twelfth Five-Year Plans' explicit "inclusive growth" framing.
  - Achievements:
    - Sharp poverty decline; rural wage floors;
    - expansion of primary education enrolment;
    - the legal-entitlement approach substantiated welfare delivery.
  - Issues:
    - Fiscal populism and leakages — pre-Aadhaar/DBT-era subsidy delivery suffered large leakages; subsequent DBT-era estimates suggest a meaningful share of subsidies failed to reach intended beneficiaries before direct-benefit-transfer reforms.
    - Investment slowdown and policy paralysis in the early 2010s amid the "twin balance sheet" problem (over-leveraged infrastructure/corporate firms and stressed bank balance sheets), and governance controversies (2G, coal-block allocations) that slowed decision-making.
    - Growth remained narrowly services-led; manufacturing's share of GDP stagnated around 15–16%, well short of the Twelfth Plan's own targets.

- **Present Model** — Cooperative-Competitive Federalism, PLI-led Manufacturing, and Digital Public Infrastructure (2014–present)
  - Framework:
    - Replacement of the Planning Commission with NITI Aayog (2015) as a policy think-tank rather than an allocator of Plan funds, explicitly to promote cooperative and competitive federalism;
    - Goods and Services Tax (2017) unifying the indirect tax base;
    - Production-Linked Incentive (PLI) schemes across 14 sectors from FY 2020–21;
    - JAM trinity (Jan Dhan–Aadhaar–Mobile) enabling Direct Benefit Transfer;
    - Digital Public Infrastructure (UPI, Aadhaar, ONDC);
    - Aspirational Districts and Blocks Programmes for lagging-region convergence.
  - **Data:**
    - The SDG India Index 2023–24 (NITI Aayog, released 12 July 2024) shows India's composite score rising from 57 (2018 baseline) to 66 (2020–21) to 71 (2023–24), with the largest gains in Goal 1 (No Poverty: 60→72) and Goal 13 (Climate Action: 54→67).
    - The National Multidimensional Poverty Index: A Progress Review 2023 (NITI Aayog, with UNDP/OPHI) shows the poverty headcount ratio falling from 29.17% (2013–14) to 11.28% (2022–23), with a record 13.5 crore people moving out of multidimensional poverty between 2015-16 and 2019-21 alone.
    - Manufacturing and DPI push: PLI schemes have mobilised large-scale investment, and the National Manufacturing Mission targets raising manufacturing's GDP share to 25% by 2035 and generating 143 million jobs, while organised manufacturing employment grew by 6% in FY24, adding over 10 lakh jobs.
    - Services continue to dominate growth: services contributed 53.6% of GDP and 56.4% of GVA in H1 FY26 (highest ever recorded), and India's share in world services exports rose from 2% in 2005 to 4.3% in 2024, making it the world's seventh-largest services exporter — indicating the structural transformation is still services-led rather than manufacturing-led, a departure from the classical East Asian sequencing.
  - **Issues:**
    - Manufacturing's GDP share remains well below the 25%-by-2035 aspiration; the sector continues to face structural competitiveness constraints (logistics costs, land/labour rigidities, MSME credit access).
    - Employment concentration — a small share of large factories accounts for most organised jobs, meaning formal job creation has not sufficiently diffused to smaller firms or lagging states.
    - Gig/platform employment is growing fast (from a low base) but with weak social security: the gig workforce expanded to 1.2 crore workers by FY25, projected to reach 6.7% of the workforce by 2030, alongside challenges of income volatility, limited social security, credit access, algorithmic management, and skill obsolescence.
    - Persistent regional divergence despite convergence-oriented schemes

Sub-National Development Models: The State-Level Debate

- **The Kerala Model — Redistribution/Human-Development-First**
  - Core features: Historic land reforms (1957 onward), heavy public investment in education and primary healthcare, strong cooperative movement, and high political mobilisation/decentralisation (73rd/74th Amendment implementation was unusually deep via the "People's Plan Campaign," 1996).
  - Achievements: Near-universal literacy, low infant and maternal mortality comparable to middle-income countries, and consistently high human-development rankings. In the SDG India Index 2023–24, Kerala retained its top ranking among states for the 4th consecutive time, sharing the top spot with Uttarakhand at a composite score of 79 points.
  - Issues (the classic "Kerala paradox"):
    - Weak productive/industrial base; historically high emigration-dependence (Gulf remittances) rather than domestic job creation, leaving per-capita income growth substantially reliant on external transfers rather than domestic value addition.
    - High public debt and fiscal stress from an extensive welfare/pension commitment relative to own tax revenue.
- **The Gujarat Model — Growth/Infrastructure-First**
  - Core features: Aggressive industrial-infrastructure push (ports, power, road connectivity), investor-friendly land and regulatory facilitation, export- and manufacturing-oriented growth (petrochemicals, textiles, diamond processing, and more recently semiconductors/renewables via GIFT City and Dholera).
  - Achievements: Consistently among the higher-growth, higher-per-capita-income, and higher-FDI-absorbing states; strong export performance; Gujarat is among the states collectively absorbing over 60% of India's FDI inflows (along with Maharashtra and Karnataka).
  - Issues:
    - Comparatively weaker performance on human-development and social-sector indicators relative to its income level — the crux of the long-standing Bhagwati–Sen debate. Historical HDI comparisons place Gujarat's social indicators behind states with similar or lower per-capita income (e.g., Tamil Nadu, Himachal Pradesh).
    - Growth model criticised as more capital-intensive than labour-absorbing, raising questions about the employment elasticity of growth.

- **The Dravidian/Tamil Nadu Model — Growth with Social Justice**
  - Core features: Sustained affirmative-action (reservation) policy since the pre-Independence Justice Party/Self-Respect Movement lineage, extremely early and deep investment in school-noon-meal schemes (Tamil Nadu pioneered the Mid-Day Meal Scheme in 1982, later scaled nationally), decentralised industrial base (not capital-city-concentrated), and welfare-cum-industrial-policy combination.
  - Achievements: Tamil Nadu is frequently cited by scholars as the rare Indian state combining high per-capita income and strong human-development outcomes simultaneously — unlike Kerala/Himachal Pradesh (development without matching growth) or Gujarat/Maharashtra (growth without matching inclusion). PLFS 2023–24 data show Tamil Nadu's labour force participation rate at 50% (men 59%, women 43%), with SC women's LFPR up 3 percentage points since 2021 — attributed partly to welfare schemes (breakfast/nutrition schemes) freeing up women's time for paid work.
  - Issues:
    - High subsidy/welfare-scheme burden on state finances (free electricity, cash transfers, universal PDS enhancements) raises fiscal-sustainability questions similar to Kerala's, though partly offset by a broader industrial/tax base.
    - Debate on whether continued caste-based reservation, extended well beyond the original "temporary" constitutional intent, still serves its equity purpose or entrenches identity politics.
- **The Bihar/Eastern-States "Left-Behind" Pattern**
  - Core features: Historically low industrial base (partly a colonial-era freight-equalisation legacy that discouraged eastern industrial location), weak land-reform implementation, high out-migration of labour, and governance/law-and-order deficits through the 1990s.
  - Substantiation: In the SDG India Index 2023–24, Bihar (score 57) was adjudged the worst-performing state, followed by Jharkhand (62) and Nagaland (63). On per-capita income, recent Economic Survey data places Bihar as the state with the lowest GDP per capita, at around ₹69,000 per annum, against a national average per-capita net national income of roughly ₹2.05 lakh in 2024–25. On specific deprivation indicators, Bihar and Jharkhand scored as low as 24 and 28 respectively in SDG 2 (Zero Hunger), while Bihar scored 32 in SDG 4 (Quality Education).
  - Improvement signals: The same index notes Bihar's peer group is catching up on rate of change even if not on level — Uttar Pradesh, a similarly placed state, was the fastest-improving state between 2018 and 2023–24, with its score rising by 25 points — suggesting convergence dynamics are beginning to operate for at least some lagging states, primarily through central scheme saturation (housing, sanitation, electrification) rather than autonomous industrial growth.

	High Growth	Low/Moderate Growth
High Human Development	Tamil Nadu (rare combination)	Kerala, Himachal Pradesh
Low/Moderate Human Development	Gujarat, Maharashtra (uneven social indicators)	Bihar, Jharkhand (low on both)

Kerala's impressive human-development outcomes were not backed by an expansion of productive sectors, while states like Gujarat and Maharashtra delivered on growth but lagged in human development; Tamil Nadu has managed to produce high per-capita income while also reducing poverty, maintaining above-average wages, and achieving high literacy and low mortality rates — a combination scholars treat as the exception rather than the rule among major Indian states.

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Issues Across All Indian Development Models

- **Persistent Regional Disparity**
  - India's national per-capita income stood at ₹2,05,324 in 2024–25, up from ₹1,88,892 in 2023–24 — but this masks enormous variance: Sikkim tops state rankings with per-capita income around ₹5.87 lakh, while Bihar sits near ₹69,000, a gap of roughly 8–9x between the richest and poorest major states.
  - Western and southern states such as Maharashtra, Gujarat, Karnataka, and Tamil Nadu contribute over 30% of India's GDP, and 10 states contribute nearly 80% of India's exports (Economic Survey 2023–24), while the World Bank (2022) rates regional inequality in India among the highest in Asia.
  - Even within better-performing states, sharp intra-state divides persist — e.g., Mumbai generates high tax revenue while Vidarbha suffers rural poverty and agrarian distress, mirroring national-level resource imbalances within a single state.
- **Jobless/Under-Inclusive Growth**
  - Formal-sector job creation remains narrowly concentrated: a small share of large factories accounts for most organised manufacturing jobs, and structural transformation continues to bypass agriculture, where a disproportionate share of the workforce remains trapped despite agriculture's shrinking output share.
  - Growing informalisation via gig/platform work brings flexibility but limited social security and income volatility, a concern only partly addressed by the four Labour Codes notified in November 2025.
- **Gender Gaps**
  - The SDG India Index shows India's overall national score below 50 only on Goal 5 (Gender Equality) — the single weakest link across all 16 SDGs even as most other goals show strong progress, indicating that no state-level development model — growth-first or welfare-first — has yet fully cracked gender inclusion.
- **Fiscal Sustainability of Welfare-Heavy Models**
  - States following redistribution-first strategies (Kerala, Tamil Nadu, Punjab) face rising committed expenditure (subsidies, pensions, free-power schemes) relative to own tax revenue, a recurring theme in Finance Commission and RBI "State Finances" reports, creating tension between welfare delivery and capital-expenditure headroom for future growth.
- **Data and Federal Coordination Gaps**
  - States sometimes contest the Centre's own monitoring data — for instance, Nagaland's government has flagged that NITI Aayog's heavy reliance on secondary survey data, without a state consultation mechanism, can produce outcomes not reflective of the state's true position, a live illustration of cooperative-federalism friction even within a convergence-oriented monitoring framework.

Improvements Already in Motion

- **Aspirational Districts and Blocks Programme (ADP/ABP)**
  - Launched 2018 (Districts) and 2023 (Blocks) to apply the "3Cs" — Convergence, Collaboration, Competition — to India's most backward regions
  - Launched in 500 blocks in 2023, was extended to 513 blocks by 2025, and a follow-on Sampoornata Abhiyan 2.0 campaign (28 Jan–14 Apr 2026) targets saturation of 5 KPIs in Aspirational Districts and 6 KPIs in Aspirational Blocks nationwide.
- **SDG India Index as a Federalism/Accountability Tool**
  - Converts abstract development-model debates into a measurable, comparable scorecard, incentivising even historically lagging states — Uttar Pradesh's score rose by 25 points between 2018 and 2023–24, demonstrating that convergence is achievable through targeted central-scheme saturation even without replicating a "high-HDI state's" historic model wholesale.
- **Manufacturing Push to Correct Services-Skew**
  - PLI schemes and the National Manufacturing Mission aim to correct the structural imbalance of a services-led growth model reaching a relatively low per-capita income (a break from the classical agriculture→manufacturing→services sequencing), with an explicit target to raise manufacturing's GDP share to 25% by 2035 and generate 143 million jobs.
- **Direct Benefit Transfer and Digital Public Infrastructure**
  - The JAM trinity has plugged much of the leakage that undermined the 2004–2014 inclusive-growth model's welfare delivery, illustrated by scaled physical outcomes cited in the SDG Index release itself: over four crore houses under PM Awas Yojana and eleven crore toilets built in rural areas — outcomes credited with driving the sharp Goal 1 (No Poverty) score improvement.
- **Finance Commission and Fiscal Federalism Reform**
  - Enhanced weightage to income-distance and demographic-performance criteria in horizontal devolution formulas is a live mechanism for channeling more central resources to lower-income states — directly relevant to correcting the Bihar/Jharkhand-type "left-behind" pattern without requiring those states to abandon their existing political-economy models overnight.

Way Forward

- No single model is transferable wholesale — Kerala's welfare-first path relied on land reform and remittances unique to its history; Gujarat's growth-first path relied on coastal geography and early industrial infrastructure; Tamil Nadu's hybrid path relied on nearly a century of social-mobilisation politics.
- Institutionalise growth-with-equity as the default, following the Tamil Nadu evidence that social-sector investment (education, nutrition, women's LFPR) and growth are complementary rather than trade-off variables, contrary to the older Bhagwati–Sen binary framing.
- Fix employment elasticity of growth — manufacturing-mission targets must be matched by MSME credit access and labour-market reform implementation (the four new Labour Codes) to prevent large-firm-only job concentration from persisting.
- Deepen fiscal federalism — greater predictability in GST compensation/devolution and Finance Commission transfers to reduce lagging states' dependence on discretionary central schemes, allowing them to build durable, locally-rooted development strategies rather than remaining perpetually "aspirational."
- Close the Goal-5 gender gap, the one universally weak spot across every state model, growth-first or welfare-first alike.
- Strengthen data federalism — resolve Centre-state disputes over monitoring methodology (as flagged by Nagaland) to keep convergence tools like the SDG Index and ADP credible and cooperative rather than adversarial.

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Mains Concise Note (MCN) 89 : LPG Impact on India

The reforms were not a single event but a philosophy of governance that has continued, in successive waves, for over three decades — from the New Industrial Policy of 1991, through the IT and telecom liberalisation of the late 1990s, the second-generation banking and insurance reforms of the 2000s, to GST (2017), the Insolvency and Bankruptcy Code (2016), corporate tax cuts (2019), and Production-Linked Incentive (PLI) schemes (2020 onward).



What Has Been Achieved

Indicator	Pre-1991 / Baseline	Current (2025-26)	Source
Foreign exchange reserves	~US$1.2 billion (June 1991)	~US$690-700 billion (2026)	RBI
Real GDP growth (annual avg.)	~3.5% (1950-1980, 'Hindu rate')	7.1-7.7% (FY24-FY26)	MoSPI/NSO
Cumulative FDI (since 2000)	Negligible pre-1991	US$1.16 trillion (Apr 2000-Mar 2026)	DPIIT
Total exports (goods + services)	~US$18 billion (1990-91)	~US$860 billion (FY 2025-26)	RBI/Commerce Min.
Multidimensional poverty (headcount)	24.85% (2015-16 baseline)	14.96% (2019-21)	NITI Aayog MPI 2023
Gross NPA ratio (Scheduled Comm. Banks)	11.2% peak (March 2018)	~2.1-2.3% (2025-26)	RBI FSR / Trend & Progress Report
Average import tariff (peak rate)	>300% (pre-1991)	Low double digits (applied avg.)	WTO / Ministry of Commerce
India's rank by nominal GDP	~12th (early 1990s)	4th largest (2025-26, overtook Japan)	IMF/MoSPI

Sectoral Case Studies

- **Telecommunications — From State Monopoly to Global FDI Magnet**
  - The National Telecom Policy (1994, revised 1999) opened the sector to private players, and the creation of TRAI (1997) as an independent regulator was critical to credible liberalisation.
  - India today has over a billion mobile subscribers and among the cheapest data tariffs in the world, with computer software and hardware/telecom-adjacent segments consistently ranking among the top FDI-receiving sectors.
- **Banking and the NPA Clean-up — Institution-Building as Second-Generation Reform**
  - The initial 1991-92 banking reforms (Narasimham Committee) introduced prudential norms, capital adequacy requirements and reduced statutory pre-emption of bank funds. But the deeper test came two decades later: an unchecked corporate lending boom (2004-2011) left banks — especially PSBs — with a mounting bad-loan problem that was masked through 'evergreening' of loans.
  - The RBI's 2015 Asset Quality Review forced transparent recognition, and the resulting '4R strategy' (Recognition, Resolution, Recapitalisation, Reforms) combined with the IBC (2016) fundamentally altered the creditor-debtor relationship in India — for the first time, defaulting promoters could lose control of their companies.
- **Information Technology — India's Global Comparative Advantage**
  - The IT/ITES sector is arguably the single clearest LPG success story: an industry built almost entirely after 1991 (Software Technology Parks scheme, 1991; and subsequent export incentives), leveraging India's English-speaking, technically trained workforce to become the backbone of India's services-export boom (US$418 billion in FY 2025-26).
  - It also created the country's most globally integrated urban middle class and demonstrated the value of playing to comparative advantage in globalisation rather than import-substituting industrialisation.
- **Disinvestment and the Public Sector Enterprise Policy**
  - From a philosophy in which the state ran everything from steel to soap, India has moved toward a formal PSE policy confining direct government presence to four strategic sectors (atomic energy, defence, transport/telecom, power/petroleum/banking/insurance), with disinvestment or privatisation elsewhere.
  - The strategic sale of Air India (2021) — after decades of loss-making state ownership — was the most politically significant privatisation since the reforms began, alongside PSU listings, minority stake sales, and the National Monetisation Pipeline for brownfield infrastructure assets.
- **Insurance and Pension Reform**
  - The Insurance Regulatory and Development Authority (IRDA) Act (1999) ended the LIC/GIC state monopoly on insurance; FDI limits in insurance have since been raised in stages (26% → 49% → 74%, with 100% permitted for certain categories under the Insurance Amendment Act, 2021, subject to conditions).
  - The pension sector was similarly opened via the National Pension System (NPS) and the PFRDA Act (2013), moving India away from unfunded defined-benefit pensions toward a funded, market-linked architecture — mirroring reforms in several OECD economies.

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Issues and Challenges: The Unfinished Reform Agenda

- **'Jobless' or 'Job-poor' Growth and Informality**
  - Despite high GDP growth, employment quality has lagged. PLFS 2023-24 recorded an unemployment rate of 3.2% — unchanged from 2022-23, the first year since the survey's inception (2017-18) without a year-on-year decline.
  - More significantly, much of the LFPR increase has been absorbed into self-employment and unpaid family labour rather than salaried formal work, and agriculture still employs roughly 45% of the workforce while contributing only around 16% of GVA — a stark productivity gap.
  - Manufacturing's share of GDP remains stuck near 14-17%, well short of the 'Make in India' target of 25%, indicating that the sector has not absorbed labour at the pace East Asian economies achieved during comparable growth phases.
- **Rising Inequality**
  - The World Inequality Lab's 2024 study ('Income and Wealth Inequality in India, 1922-2023: The Rise of the Billionaire Raj') found that India's top 1% income share reached 22.6% and top 1% wealth share reached 40.1% in 2022-23 — both the highest levels recorded since the data series began in 1922, higher even than under British colonial rule, and among the highest in the world (higher than the US, Brazil or South Africa).
  - The subsequent World Inequality Report 2026 found the top 10% capturing about 58% of national income against just 15% for the bottom 50%, with wealth concentration even sharper (top 10% holding ~65% of wealth). Female labour force participation, despite PLFS gains noted earlier, remains comparatively low by some measures, underscoring that growth has not been uniformly inclusive across gender or income strata.
- **Agricultural Distress and the Left-Behind Sector**
  - Agriculture was the sector least touched by the original 1991 reforms — it remained outside industrial delicensing and continued to be shaped by MSP policy, state-level APMC regulation, and input subsidies rather than market signals.
  - Low and volatile farm incomes, fragmented landholding, and limited access to formal credit and modern markets have kept a large, low-productivity workforce trapped in agriculture even as its GDP share has fallen from about 30% in 1991 to roughly 16% today.
  - The 2020-21 farm laws' contested rollout illustrated the political economy difficulty of extending market-oriented reform to agriculture, which remains, in essence, a pending item of the LPG agenda.
- **External Vulnerability and Trade Deficit**
  - Globalisation has also imported vulnerability: a persistent merchandise trade deficit (offset by services surpluses and remittances), external debt of roughly US$746 billion (September 2025), and periodic currency depreciation pressure (the rupee depreciated roughly 5.4% against the US dollar between April 2025 and January 2026) driven by global monetary tightening, geopolitical shocks, and FPI ('hot money') volatility — a reminder that capital-account globalisation cuts both ways.
- **Regional and Rural-Urban Disparity**
  - FDI and industrial growth remain heavily concentrated: Maharashtra, Karnataka and Delhi alone accounted for well over 50% of India's FDI equity inflows in FY 2024-25. Poorer states such as Bihar and Jharkhand, despite the fastest relative gains in the NITI Aayog MPI, continue to report the highest absolute poverty and the weakest human-development indicators, reflecting a two-speed India where reform dividends have not converged across states.
- **Incomplete Factor Market Reforms**
  - Unlike product markets (delicensed since 1991) and to a lesser extent capital markets (SEBI, 1992), India's land and labour markets remain only partially reformed.
  - The four Labour Codes (2019-20), meant to consolidate 29 central labour laws, remain unimplemented in several states even years after passage, owing to political-economy resistance and Centre-state coordination challenges — illustrating that 'LPG 2.0' requires reforms in areas the original 1991 package deliberately avoided for political reasons.

Way Forward: Toward 'LPG 2.0'

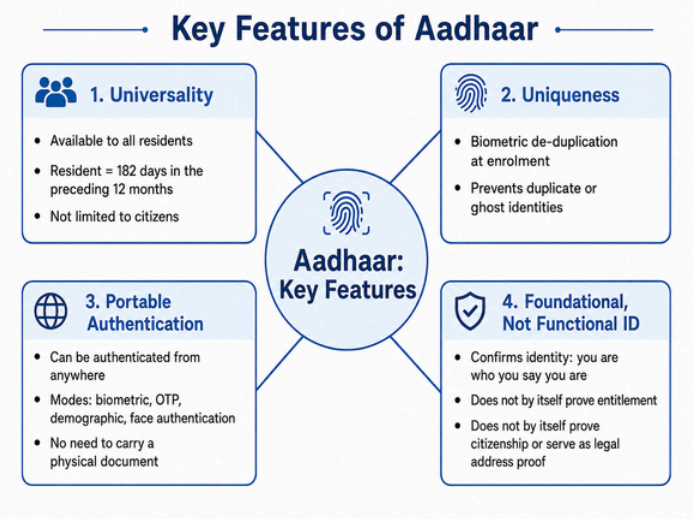
- **Complete Factor Market Reforms**
  - Full implementation of the four Labour Codes across states, with adequate social-security architecture
  - Land reform — digitisation of land records (SVAMITVA scheme), easing land-leasing restrictions, and streamlining land acquisition to reduce industrial project delays.
- **Push Manufacturing and Formal Job Creation**
  - Deepen Production-Linked Incentive (PLI) schemes and integrate India further into global value chains ('China+1' diversification), particularly in electronics, semiconductors, and green-energy manufacturing.
  - Skilling aligned to industry demand (Skill India Mission 2.0) to absorb the still-agriculture-dependent workforce into higher-productivity manufacturing and services.
- **Address Inequality and Ensure Inclusive Growth**
  - Progressive fiscal measures and stronger social-sector spending on health, education and nutrition, as flagged by the World Inequality Lab report, to ensure growth dividends are broad-based rather than concentrated at the top.
  - Strengthen direct benefit transfer (DBT) architecture and last-mile delivery of welfare schemes, building on the poverty-reduction gains already achieved through NITI Aayog's MPI framework.
- **Extend Reform to Agriculture**
  - Build broad political consensus for orderly agricultural market reform — diversified procurement, contract farming safeguards, investment in agri-logistics and cold-chain infrastructure — rather than either the pre-2020 status quo or an abrupt deregulation.
- **Strengthen Regulatory and Judicial Institutions**
  - Faster contract enforcement and commercial dispute resolution (India ranks well below peers on contract enforcement time despite Ease of Doing Business gains) remain essential complements to liberalisation — echoing the telecom sector's lesson that independent regulation, not deregulation alone, delivers outcomes.
  - Continue banking-sector reform momentum through the RBI's proposed Expected Credit Loss (ECL) provisioning framework and further governance reform in PSBs.
- **Manage External Vulnerability**
  - Diversify export markets and reduce merchandise trade deficit dependence, while maintaining adequate forex buffers (currently ~8-11 months of import cover) against global shocks.

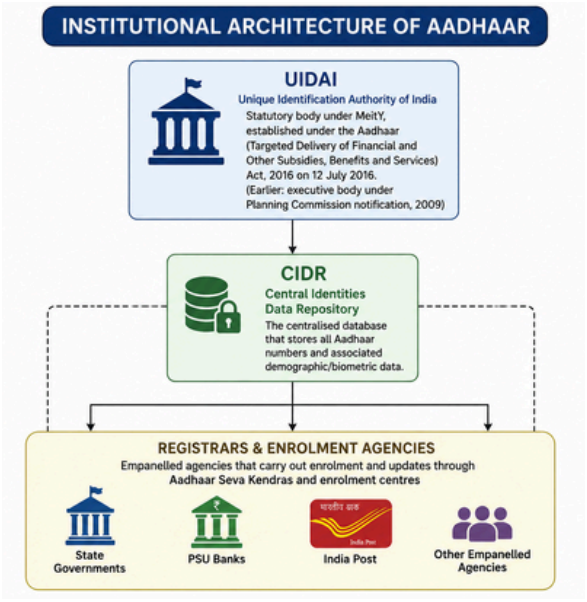
The unfinished task is to ensure that greater efficiency and global integration translate into productive jobs, social mobility and shared prosperity—because reforms endure only when growth acquires both speed and legitimacy.

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Mains Concise Note (MCN) 90 : Aadhar

Aadhaar is the world's largest biometric identity programme, and forms the identity 'A' in India's celebrated JAM trinity — Jan Dhan bank accounts, Aadhaar, and Mobile numbers.





Domain	Application
Welfare & subsidy delivery (DBT)	Foundational ID for the JAM trinity; used for beneficiary identification/de-duplication in PDS (ration), LPG (PAHAL), MGNREGS wages, scholarships, pensions, PM-KISAN, and 300+ DBT schemes.
Financial inclusion & KYC	Instant e-KYC for opening Jan Dhan and other bank accounts; Aadhaar Enabled Payment System (AEPS) for micro-ATM/cash-out transactions in unbanked/rural areas.
Taxation	Mandatory linkage with PAN (Section 139AA, IT Act) to curb duplicate PAN cards and widen the tax base; used for e-filing verification.
Telecom	Voluntary e-KYC based SIM issuance (post-2019 Amendment, on an opt-in basis) to curb fraudulent/duplicate connections.
Digital public infrastructure (India Stack)	Forms the identity layer for UPI onboarding, DigiLocker, CoWIN (during COVID-19 vaccination drive), Ayushman Bharat Digital Mission (health ID), and e-Sign services.
Direct governance/administrative use	Employees' Provident Fund (EPF/UAN) seeding, passport issuance (address/identity verification), driving licence and vehicle registration linkage in several states.
Election-related use (contested)	Linking of Aadhaar with EPIC (voter ID) under the Election Laws (Amendment) Act, 2021 — voluntary in principle, but flagged for possible misuse in exercises such as the Special Intensive Revision (SIR) of electoral rolls.

- Aadhaar enrolment is now effectively saturated for the adult population. As on September 2025, UIDAI had generated 142.76 crore Aadhaar numbers cumulatively; UIDAI's has stated that approximately 99% of the adult population has been enrolled.
- UIDAI recorded 231 crore Aadhaar authentication transactions in November 2025 alone, up 8.47% year-on-year, with e-KYC transactions rising 24% y-o-y — reflecting Aadhaar's deepening use in banking, telecom and welfare onboarding.
- Roughly 312 million (31.2 crore) biometric authentication attempts occur every month across banking, welfare and other services
- A BlueKraft Digital Foundation policy paper (2025), cited by the Ministry of Finance, assessed 2009–2024 data and claimed cumulative DBT savings of ₹3.48 lakh crore, with beneficiary coverage rising from 11 crore to 176 crore, and subsidy expenditure falling from about 16% to 9% of total government expenditure over the period.

Issues & Limitations

- **Exclusion Errors — Biometric Authentication Failures**
  - the denial of legitimate welfare entitlements because biometric authentication fails, distinct from and often confused with genuine fraud reduction.
- **Structural failure rate:**
  - Biometric authentication has shown a persistent ~6.5% failure rate for a decade, disproportionately affecting elderly persons (worn fingerprints, cataracts, tremors), manual/agricultural labourers (abraded fingerprints), persons with disabilities, and residents of poorly connected rural/tribal areas.
- **Parliamentary scrutiny**:
  - The Public Accounts Committee (PAC) examining a 2021 CAG report in 2025, heard cross-party testimony that faulty fingerprint/iris scans were wrongfully excluding eligible beneficiaries from PDS rations and MGNREGS work, and flagged that verification failures lead to 'unjustified exclusion of beneficiaries from social programmes'.
- **Documented deaths:**
  - Over 30% of PDS authentication failures resulted in beneficiaries receiving no rations at all) has linked multiple starvation deaths — for instance, in Jharkhand, where roughly 11 lakh ration cards were cancelled in a single year for non-linkage/authentication failure — to Aadhaar-related exclusion.
- **Mandatory e-KYC re-verification drives:**
  - A 2025 Ministry of Consumer Affairs directive requiring 100% e-KYC completion for all NFSA ration-card holders (with the threat of subsidy withholding for non-compliance) has been criticised for shifting the administrative and biometric burden onto the most vulnerable, with no guaranteed fallback for those who cannot authenticate.
- **Privacy, Surveillance & Function Creep**
  - 'Function creep': Aadhaar, originally justified for welfare delivery, has steadily been extended into banking, telecom, taxation, and even electoral-roll processes — the exact expansion the 2018 majority judgment sought to restrict
- **Mission creep into elections:**
  - The proposed/ongoing linkage of Aadhaar with EPIC numbers and its indirect role in exercises like the Special Intensive Revision (SIR) of electoral rolls has drawn concern that a document not designed for citizenship verification could be used to disenfranchise genuine voters
- **Absence of an independent regulator with real teeth:**
  - Unlike the EU's GDPR model, oversight of Aadhaar-related data processing now sits with the Data Protection Board of India under the DPDP Act/Rules, 2025 — a body appointed by the Executive, raising questions (flagged since the DPDP Bill stage) about its independence from the very government departments that are among the largest processors of Aadhaar-linked data.
- **Data Security — Breaches & Fraud**
  - Historical breaches: Aadhaar data (though UIDAI maintains the core CIDR biometric database itself has not been breached) has repeatedly leaked through third-party government and private databases that stored Aadhaar numbers alongside other personal data — a structural risk of a single, widely-seeded identifier.
  - AI-enabled identity fraud (2026): In April 2026, Ahmedabad police uncovered an identity-theft racket using AI-generated 'lifelike' face videos from still photographs to bypass biometric/face-authentication safeguards during Aadhaar update processes, compromising roughly 240 identities — illustrating how generative-AI tools are beginning to outpace existing biometric liveness-detection safeguards.
  - Ancillary data leaks: Incidents such as the exposure of over 1.5 crore consumer records on a Rajasthan electricity-utility portal (2026) that included Aadhaar-linked data illustrate the systemic risk created when numerous unrelated departments store Aadhaar numbers with inconsistent security standards.
- **Legal & Constitutional Concerns**
  - The Money Bill route used to pass the original 2016 Act remains constitutionally contested and pending before a larger bench (Rojer Mathew reference), an unresolved question over the legitimacy of Aadhaar's foundational statute.
- **Coercive 'voluntary' linkage:**
  - Despite the Supreme Court holding several linkages (SIM, bank account) unconstitutional and the 2019 Act formally requiring 'consent', in practice many services (from mobile-app onboarding to certain welfare schemes) make Aadhaar a de facto precondition, undermining genuine voluntariness — a gap between de jure safeguards and de facto administrative practice repeatedly flagged by courts and civil-society groups.
- **No right to 'exit' the system:**
  - Individuals can block biometric authentication but cannot fully exit or delete their Aadhaar record from the CIDR, raising 'right to be forgotten' style concerns analogous to but distinct from the Puttaswamy-derived RTBF jurisprudence.
- **Technical & Operational Limitations**
  - Poor rural connectivity and ageing point-of-sale/biometric devices amplify failure rates precisely in the low-connectivity, high-poverty areas where welfare dependence is greatest — a structural mismatch between technology design assumptions and ground realities.
  - UIDAI itself has acknowledged operational data-quality issues, including duplicate records and delayed updating of deaths in the database, complicating de-duplication claims.
- **Grievance redressal remains weak:**
  - Exception-handling responsibility for authentication failures is often informally pushed down to banks, ration dealers, and local-level functionaries who lack capacity or standard operating procedures to resolve failures on the spot.

Jurisdiction	System	Distinguishing Feature relevant to Aadhaar debate
Estonia	e-Estonia / X-Road digital ID	Decentralised data-exchange layer (X-Road) — no single central database; citizens can see every access to their data in real time ('data traceability'), addressing the surveillance concern more directly than Aadhaar's CIDR model.
United Kingdom	No national ID card (abandoned 2010–11)	UK scrapped its national ID card scheme on civil-liberties/privacy grounds — an instructive comparative counterpoint on political-economy resistance to centralised biometric IDs.
Singapore	Singpass / National Digital Identity	Similar foundational digital-ID model to Aadhaar, but paired with a comprehensive, actively enforced Personal Data Protection Act and stronger complaint/redressal mechanisms.
Germany	Personalausweis (eID card)	Constitutionally entrenched 'informational self-determination' doctrine (from the 1983 Census judgment) — citizens control what categories of their eID data are shared per-transaction, a stronger consent architecture than Aadhaar's blanket authentication model.
European Union	eIDAS Regulation / GDPR	GDPR's independent Data Protection Authorities and strict purpose-limitation/data-minimisation rules are often invoked as the benchmark India's DPDP Act/Rules, 2025 is measured against, particularly on regulator independence.

Way Forward / Reform Agenda

- **Reducing Exclusion Errors**
  - Mandate and standardise 'exception-handling' protocols (guaranteed alternative authentication — OTP, physical presence with local verification, or family-member proxy) at every PDS/pension/MGNREGS point, with legal accountability if these are not offered before denial of entitlement.
  - Accelerate rollout and improve reliability of face-authentication and other non-fingerprint modalities, particularly for elderly and manual-labour populations, while addressing the connectivity/smartphone-access barrier this itself creates in rural areas.
  - Delink continued receipt of statutory entitlements (food, pension) from real-time biometric success — as recommended by economists such as Jean Drèze — reserving Aadhaar primarily as a de-duplication and identity tool at initial enrolment rather than a repeated authentication gate for every transaction.
- **Strengthening Privacy & Data Governance**
  - Ensure genuine functional independence of the Data Protection Board of India under the DPDP Rules, 2025, including transparent appointment processes insulated from the executive departments it must regulate.
  - Full phased operationalisation of purpose-limitation, data-minimisation, and breach-notification obligations under the DPDP Act/Rules for every Aadhaar-linked data fiduciary, not merely UIDAI itself.
  - Statutory backing (rather than mere executive practice) for tools like Virtual ID, offline e-KYC and masked Aadhaar, with penalties for entities that insist on the full Aadhaar number where a VID or masked copy suffices.
- **Enhancing Security**
  - Mandatory, audited biometric liveness-detection upgrades across all authentication devices in response to emerging AI-enabled spoofing techniques (as seen in the April 2026 Ahmedabad case).
  - Periodic, independent (CERT-In/third-party) security audits of every government and private database that stores Aadhaar-linked information, with a legal obligation to encrypt and minimise retention.
- **Legal & Institutional Clarity**
  - Judicial resolution, by the pending larger bench, of the Money Bill certification question — for long-term constitutional certainty regarding the Act's enactment.
  - Codify a genuine 'right to alternative identification' in practice (not merely on paper) across all central and state schemes, closing the gap between the Puttaswamy safeguards and everyday administrative coercion.
  - Periodic parliamentary review (e.g., via a standing committee) of UIDAI's functioning, exclusion data, and grievance-redressal statistics, building on the precedent set by the 2025 PAC scrutiny.

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Mains Concise Note (MCN) 90 : Aadhar

Aadhaar as a Tool for Better Governance, Service Delivery & Welfare

Aadhaar's core value proposition for governance lies in solving three long-standing problems in Indian public administration: ***duplicate/ghost beneficiaries, fragmented identity verification, and high transaction costs of reaching citizens at scale.*** *Its positive potential — realised and prospective — can be organised across the following pathways.*

- **Welfare Targeting & Leakage Reduction**
  - De-duplication at enrolment eliminates ghost/multiple beneficiaries — the basis for weeding out fake ration cards, duplicate LPG connections (PAHAL), and fictitious MGNREGS job cards.
  - Direct Benefit Transfer (DBT) — Aadhaar-seeded bank accounts allow subsidies (PM-KISAN, scholarships, pensions, fertiliser subsidy) to move directly into verified accounts, cutting out layers of intermediaries historically associated with leakage. Government claims (BlueKraft/Finance Ministry, 2025) put cumulative DBT savings at ₹3.48 lakh crore since 2013, with coverage rising from 11 crore to 176 crore beneficiaries — though, as flagged earlier, these figures are contested and should be cited with the caveat that CAG has previously found such savings overstated in specific cases (LPG).
  - Real-time beneficiary reconciliation across schemes (e.g., cross-checking PM-KISAN against land records, or NFSA rolls against death registers) becomes possible only because Aadhaar gives a single, de-duplicated key to link otherwise siloed databases.
- **Financial Inclusion & Last-Mile Banking**
  - Instant e-KYC collapsed account-opening costs and time, underpinning the Jan Dhan Yojana's rapid scale-up.
  - Aadhaar Enabled Payment System (AEPS) allows cash withdrawal/balance enquiry at micro-ATMs using only a fingerprint — critical for rural, unbanked, and elderly populations without smartphones or debit cards.
  - Forms the identity backbone of UPI, enabling India's low-cost digital payments architecture, now a global DPI reference model.
- **Ease of Living — Paperless, Presence-less Service Delivery**
  - DigiLocker + e-Sign + Aadhaar authentication together allow citizens to access, verify, and digitally sign documents without visiting an office — reducing discretion and corruption at the front-line bureaucratic interface (a direct answer to Weberian "red-tape" critiques of Indian administration).
  - Single-identity verification reduces the need to repeatedly furnish physical proofs across departments (passport, driving licence, EPF/UAN, tax filing).
- **Health Governance**
  - Increasingly forms the identity layer for the Ayushman Bharat Digital Mission (ABDM) — linking health records, insurance claims (PM-JAY), and hospital registration, enabling portability of health records and fraud-free insurance claim verification.
  - Enabled CoWIN, arguably the most successful large-scale digital public health intervention globally, during the COVID-19 vaccination drive.
- **Tax Administration & Formalisation**
  - Mandatory PAN–Aadhaar linkage (upheld in Puttaswamy, 2018) curbs duplicate PAN cards and benami transactions, widening the tax base and improving traceability of high-value transactions.
- **Emerging & Prospective Uses (2025–26 developments)**
  - UIDAI's "Aadhaar Vision 2032" framework (unveiled October 2025) proposes integrating AI, blockchain, and quantum-resistant encryption into the Aadhaar architecture — aimed at next-generation digital governance while remaining DPDP Act-compliant.
  - Aadhaar (Enrolment and Update) First Amendment Regulations, 2026 significantly widened the list of documents accepted for enrolment (e-Ration card, NREGA job cards, pension orders, shelter-home certificates, etc.), specifically to improve inclusion of vulnerable groups (homeless persons, institutionalised children, transgender persons) — directly addressing the exclusion criticism by design.
  - Face authentication has been given formal legal/regulatory recognition and a new privacy-by-design Aadhaar card (no visible Aadhaar number/name, QR-based verification only) rolled out from January 2026 — reducing the risk of number harvesting from photocopies while easing biometric-dependence for those who fail fingerprint checks.
  - SHA-1 to SHA-2 (SHA-256) migration for digital signing (2026) strengthens the cryptographic security of the authentication ecosystem against emerging AI-spoofing threats.
- **Disaster & Emergency Governance**
  - A verified, de-duplicated population database allows faster, more accurate targeting of relief (cash transfers, ration) during disasters/pandemics — reducing both exclusion and duplication under time pressure, when manual verification is infeasible.

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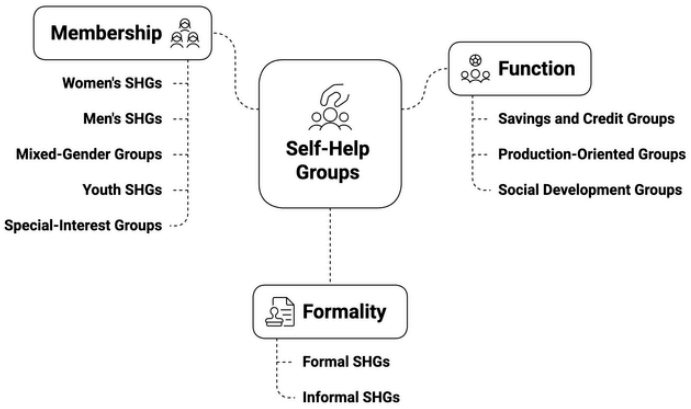
Mains Concise Note (MCN) 91 : Self Help Groups

Intro

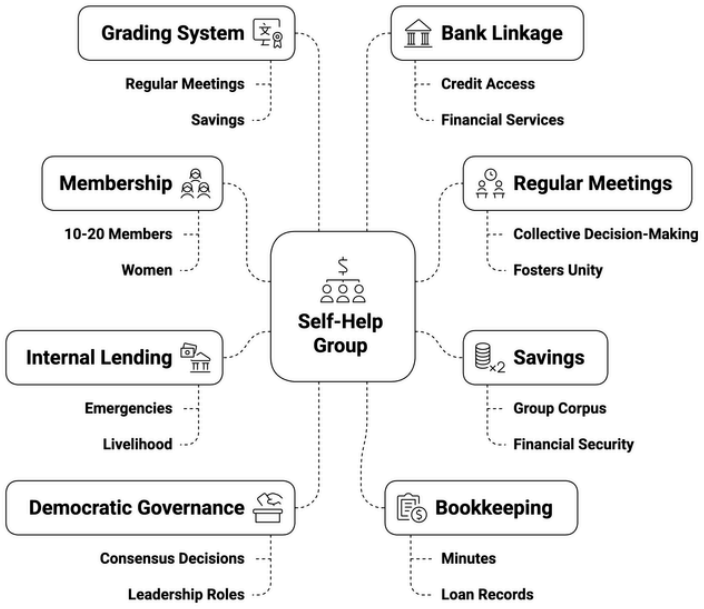
Self Help Groups (SHGs) are small, voluntary associations of individuals—commonly women from similar socio-economic backgrounds—who come together to address common problems, particularly related to savings and credit

10.08 crore women have been mobilized into 92 lakh SHGs. 57.60 lakhs women SHGs were credit linked during 2025-26 under the DAY-NRLM

Types of Self-Help Groups



Self-Help Group Structure and Functions

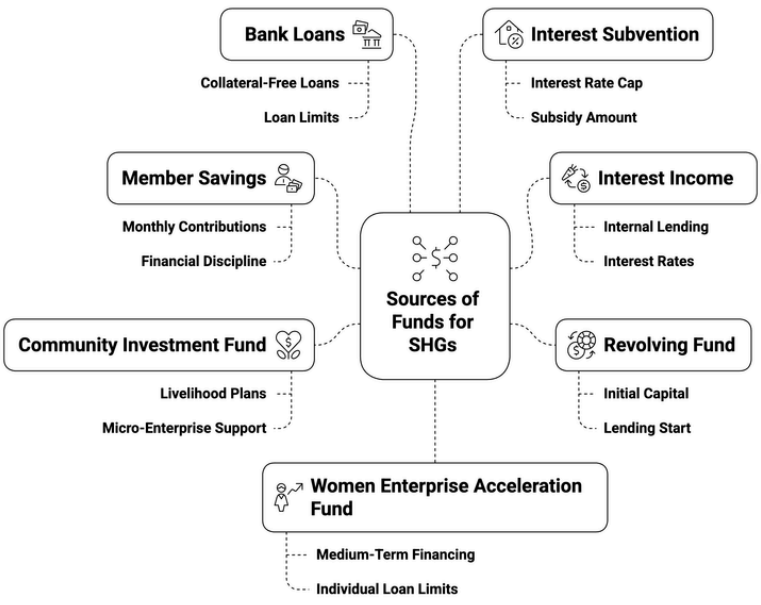


Micro financing and Bank Linkage Program

- Microfinancing refers to providing financial services—credit, savings, insurance, and remittance—to the poor who typically lack access to formal financial institutions.
- The SHG-Bank Linkage Program:
  - Initiated by NABARD, this program connects SHGs with banks. SHGs deposit pooled savings, establish creditworthiness, and subsequently gain access to bank loans. Over time, the dose of credit increases.
  - Banks treat SHGs as priority sector borrowers, offering collateral-free loans with simplified procedures. Under schemes like DAY-NRLM, credit worth up to ₹20 lakh is available without collateral, with interest subvention for timely repayment

Area	Impact
Gender Empowerment	Women become financially independent, take leadership roles.
Poverty Reduction	Increased household incomes; over 1 crore women have become Lakhpati Didis.
Malnutrition	Loans and income enhance food security and nutrition.
Income Generation	SHGs manage poultry, dairy, retail, tailoring, and agri-enterprises.
Asset Creation	Purchase of livestock, land, machines.
Social Capital	Collective action on education, health, GBV, and civic entitlements.
Resilience	Access to emergency funds, insurance, pension increases resilience.

Sources of Funds for Self-Help Groups



Women like Dulesshwari Devangan (Chhattisgarh) used SHG credit to become an e-rickshaw driver, increasing her monthly income to ₹12,000–15,000, while groups in Tripura diversified into goat rearing and farming, lifting their incomes to ₹25,000–30,000/month

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Mains Concise Note (MCN) 91 : Self Help Groups

Issues with Micro financing and Bank Linkage Programs

1. Regional Imbalances: Southern states dominate in SHG coverage, while some regions lag.
2. Delays & Documentation: Bank procedures can be slow or cumbersome; branches often require excessive documentation or ask for collateral, contrary to official guidelines.
3. Capacity Constraints: SHG members may lack adequate financial literacy or business skills or digital literacy
4. Over-Indebtedness: In some regions, over-borrowing or competition among micro finance providers has caused repayment and social stress.
5. Financial: Delayed/insufficient credit; rising NPAs in some areas
6. Exclusion of Marginalised Groups: Scheduled Castes, Tribes, and minorities may be underrepresented.
7. Banker Attitudes: Some branch managers are reluctant or risk-averse toward SHG clients

Solutions

1. Simplified Processes: Continued rationalisation of credit procedures, single-point KYC, and use of technology (mobile apps for loan applications, digital aajeevika registers).
2. Banker Sensitisation: Training and exposure visits for branch managers to successful SHGs.
3. Capacity Building: Cascade models of training for members, CRPs, and bank sakhis on governance, bookkeeping, credit management, and business development.
4. Inclusion Initiatives: Priority outreach for marginalised groups and lagging states.
5. Monitoring and Grievance Redressal: Intensified monitoring through State/District Bankers Committees and regular grievance mechanisms.
6. Digital and e-Commerce Integration: Expand e-SARAS and partnerships with online marketplaces for SHG products, boosting market access and income

Role of SHGs in Developmental Activities

Livelihoods	Promote agri-enterprises, micro-businesses under NRLM.
MGNREGA Planning	Participate in Gram Sabha planning, act as Social Auditors.
Women Empowerment	Take leadership roles in federations, Bank Sakhis.
Health & Nutrition	Spread awareness on immunization, sanitation, and nutrition.
Education	Encourage girls' education, stop dropouts.
e-Commerce	Sell SHG products via Flipkart Samarth, Amazon Saheli, SARAS & eSARAS.

Issues with SHGs aiding in Development Activities

Gender Norms	Women restricted from participating in public/financial spaces.
Caste Barriers	Dalit women excluded from SHGs in some regions.
Mobility	Families object to women attending trainings or traveling.
Workload	Triple burden—household, SHG duties, and income activities.
Digital Illiteracy	Especially among older and less-educated women.

Kudumbashree (Kerala) – over 45 lakh women in SHGs have taken up micro-enterprises in farming, food processing, and retail.

Overall Critical Analysis and Solutions

1. Strengths:
   a. SHGs have economically and socially empowered millions, especially women, enabled collective action, and improved access to credit and decision-making.
   b. They achieve high repayment rates and foster entrepreneurship—even in some of the poorest regions.
2. Weaknesses:
   a. Regional and social inequality persists, and capacity development must keep pace with expansion.
   b. Procedural, attitudinal, and capacity hurdles remain at various levels, from groups to banks.
   c. There is some risk of politicisation or excessive external control undermining autonomy.
3. Solutions:
   a. Mandatory capacity building at all levels: from member skills to bank and government staff orientations.
   b. Technology integration to streamline processes and expand market access.
   c. Policy support for expansion in underperforming regions and among the most vulnerable.
   d. Encourage diverse income-generating activities and micro-enterprises.
   e. Stronger monitoring, evaluation, and accountability mechanisms.

- DAY-NRLM under the Ministry of Rural Development is strengthening market access for SHG products in all States/UTs.
  - The Ministry of Rural Development has registered brands as “Saras”, Saras Aajeevika” and “Aajeevika” for promotion of SHG products.
  - Saras Melas are organised at National, Regional, State and District levels to popularise the Saras brand and also to promote the sale of SHG products in urban markets.
  - A Retail Store - Saras Aajeevika Gallery is being operated in Central Delhi for sale of curated products of SHG members.
  - A Dedicated eCommerce platform eSaras for selling of curated SHG products has been set up by MoRD. Tie-ups/ partnership have been done with other eCommerce players i.e. GeM, Open Network for Digital Commerce (ONDC), Amazon, Flipkart, Meesho and JioMart for promotion of SHG products.
- Self-Help Entrepreneur-Livelihoods and Enterprise Application for Prosperity and Sustainability (SHE-LEAPS) was recently launched in June 2026 and is implemented under the LokOS platform. It is a digital platform for empowering women associated with Self-Help Groups (SHGs) across rural India.
  - It provides a unified platform for enterprise creation, performance tracking, and business management. It supports farm and non-farm enterprises, strengthening a sustainable and resilient rural economy.

Self-Help Groups are not just about credit—they’re about courage. They transform silent savings into voices of change, proving that true development begins when communities empower themselves.

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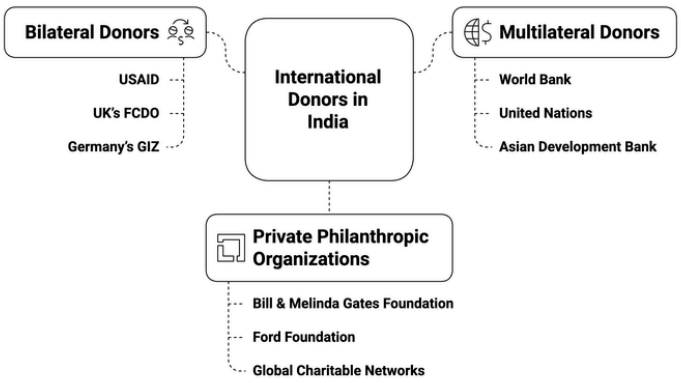
Mains Concise Note (MCN) 92 : International Donors

Intro

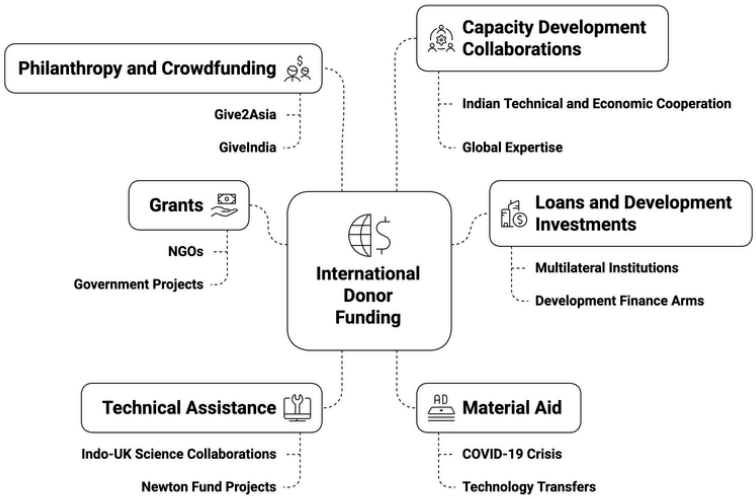
International donors serve as vital bridges between global solidarity and local development. Their presence reflects not just generosity—but global responsibility.

US consistently has been the highest overseas donor for India averaging about 3000 crore annually, USAID was reportedly planning to spend $21 million to increase voter turnout in India, a move that has been criticised as foreign interference in our elections.

Types of International Donors in India



Methods of International Donor Funding



Impact of International Donors

1. **Development Outcomes**: International aid has historically supported India's rural development, public health (e.g., AIDS, tuberculosis, vaccination drives), education, and disaster relief. Major recipients include World Vision, Rural Development Trust, Oxfam, and Plan International India.
2. **Catalysing Social Change**: Donors help civil society address marginalised groups' challenges, fill governance gaps, and innovate solutions in education, gender equality, and environment.
3. **Strategic Cooperation**: Initiatives like Indo-UK Clean Energy Centre (JUICE) and Indo-UK Centre for Improvement of Nitrogen Use Efficiency in Wheat illustrate how donor-funded science projects advance mutual priorities.
4. **Capacity Building**: Donors support knowledge exchange, technical advancement, and grassroots leadership.

Issues and Criticisms

1. **Sovereignty & Policy Interference:** Foreign aid sometimes arrives with policy prescriptions—such as calls for economic reforms or regulatory changes—that may not match India's priorities, threatening sovereignty.
2. **Regulatory Barriers:** The FCRA has been repeatedly amended, tightening controls and making it more difficult for NGOs to access foreign funds. Consequences include reduced NGO numbers and disrupted projects.
3. **Transparency Concerns:** Lack of standardised reporting leads to inefficiencies, accountability gaps, and public mistrust, especially with government-centric funds like PM CARES.
4. **Aid Dependency**: Over-reliance on donor funds, particularly by NGOs, makes social sector programs vulnerable to sudden funding cuts and shifting foreign priorities.
5. **Diplomatic Leverage Risk:** Major donors can exert geopolitical or ideological influence, potentially affecting India's autonomy in global forums (e.g., pressure from Western donors on climate policy, human rights, or security issues).
6. **Operational Challenges:** Restrictions on sub-granting (passing funds from large NGOs to smaller, grassroots entities) and cumbersome licensing mean many small, community-based NGOs are left without resources, reducing developmental reach

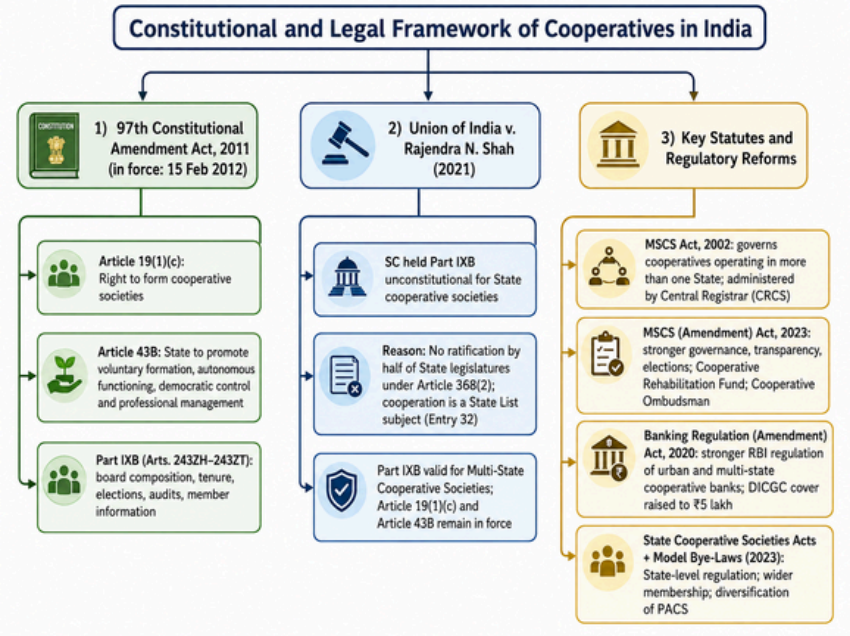
Solutions and Best Practices

1. **Stringent Compliance and Transparency:** NGOs must now ensure robust compliance with FCRA, including detailed disclosures, public audits, annual impact reports, and enhanced donor communication.
2. **Diversification of Funding Sources:** Increased focus on domestic philanthropy, crowdfunding, and corporate social responsibility to make nonprofits less aid-dependent.
3. **Innovating Donor Partnerships:** Multi-year funding commitments, indirect cost reimbursement, and technical support—especially for resilience during crises—are becoming best practices.
4. **Capacity Building for NGOs:** Investing in smaller NGOs' ability to meet reporting and compliance standards is helping them access more diverse and sustainable support.
5. **Leverage Technology:** Use of digital platforms has made international donations (via cards, bank transfer, stocks, crypto) more accessible and traceable, opening new avenues for both donors and recipients

Magna Carta Mains 2026
Mains Concise Note (MCN) 93 : Cooperatives

International Cooperative Alliance (ICA) defines a cooperative as an autonomous association of persons united voluntarily to meet common needs and aspirations through a jointly owned and democratically controlled enterprise.





Institutional Architecture of Cooperatives in India

4.1 Ministry of Cooperation

- **Established:** 6 July 2021
- Provides a separate administrative, legal and policy framework for cooperatives; deepens grassroots reach and rationalises structures across agriculture, dairy, fisheries, banking, housing and exports.
- **5th Foundation Day:** 6 July 2026, Bharat Mandapam, New Delhi.

4.2 Key National Institutions

1. **NCDC (1963)** — Statutory corporation financing cooperative production, processing, marketing, storage and exports. FY 2025–26 disbursal: ₹1.27 lakh crore.
2. **NABARD (1982)** — Apex rural development bank; anchor of the PACS–DCCB–StCB short-term cooperative credit structure.
3. **CRCS** — Registers and regulates Multi-State Cooperative Societies under the MSCS Act, 2002.
4. **NUCFDC** — RBI-approved umbrella organisation for Urban Cooperative Banks; Sahakar CBS and Sahakar Sahyogi.
5. **NCEL (2023)** — Apex multi-state cooperative for exports; 13,890+ member societies; exports to 38 countries.
6. **NCOL** — Apex body for organic farming aggregation, certification and branding under 'Bharat Organics'.
7. **BBSSL** — Apex seed cooperative producing and branding certified seeds under 'Bharat Beej'.
8. **Tribhuvan Sahkari University (TSU)** — India's first national cooperative university; Act in force from 6 April 2025.
9. **Sahakar Taxi Cooperative Ltd.** — Cooperative-led mobility platform 'Bharat Taxi'.

4.3 Regulatory Landscape — Who Regulates What

- **A — State Registrar of Cooperative Societies:** Incorporation, management, audit and liquidation of State-registered cooperatives, including cooperative banks.
- **B — RBI:** Banking regulation for cooperative banks: licensing, CRAR and prudential norms.
- **C — Central Registrar (Ministry of Cooperation):** Regulates Multi-State Cooperative Societies.
- **D — SEBI / IRDAI:** Limited role where cooperatives access capital markets or insurance-linked activity.

Type	Credit Cooperatives	Non-Credit Cooperatives
Function	Financial services — loans, savings	Goods/services — farming inputs, housing, marketing
Examples	PACS, Urban Cooperative Banks	Dairy, marketing, consumer, housing cooperatives
Approx. share (NCP 2025)	2 lakh societies	6 lakh societies

National Cooperation Policy (NCP) 2025

Launched on 24 July 2025 | Replaces the 2002 policy | 'Cooperation to Prosperity: Paving the Way for Viksit Bharat 2047'

1 Background

- Drafted by a 48-member committee chaired by Shri Suresh Prabhu
- 4 regional workshops and 17 meetings
- 648 stakeholder inputs

2 Vision and Mission

Vision: Contribute to Viksit Bharat 2047 through sustainable cooperative development — Sahkar-se-Samriddhi

Mission: Create an enabling legal, economic and institutional framework for professionally managed, transparent, technology-enabled cooperatives

3 Six Strategic Mission Pillars (16 Objectives)

1. **Strengthening the Foundation** — legal reforms, governance, finance, digitalisation
2. **Promoting Vibrancy** — business ecosystems, exports, rural clusters
3. **Future-Ready Cooperatives** — technology, professional management, Cooperative Stack
4. **Inclusivity and Deepening Reach** — people's movement, inclusive development
5. **New and Emerging Sectors** — biogas, clean energy, warehousing, healthcare, mobility
6. **Shaping the Young Generation** — courses, employment exchange, skilling

4 Notable Provisions

- Model Cooperative Villages in every State/UT
- Preserve PACS–DCCB–StCB credit structure
- Promote umbrella bodies like NUCFDC
- Integrate with ONDC, GeM and a national Cooperative Stack linked to Agri-Stack
- Diversification into renewable energy, waste management, health, education and mobile-based aggregator services

Magna Carta Mains 2026
Mains Concise Note (MCN) 93 : Cooperatives

Issues and Challenges

- **Governance Deficits, Dormancy and Financial Irregularities**
  - 8.53 lakh registered cooperatives, 1.41 lakh (16.5%) are non-functional and 49,177 are under liquidation; even among the 6.63 lakh 'functional' societies, 0.68 lakh (over 10%) remain unaudited.
  - 115 Multi-State Cooperative Societies are under liquidation for irregularities including financial embezzlement
- **Political Interference and Elite Capture**
  - Cooperatives have historically been vulnerable to capture by dominant rural elites and used as vehicles for local political patronage
  - Delayed or non-transparent board elections, nomination of government officials/politicians as administrators during supersession, and
  - Weak internal accountability mechanisms have all been documented concerns predating the current reform push.
- **Federal and Constitutional Friction**
  - Cooperation is a State List subject (Entry 32, Seventh Schedule); the Supreme Court's 2021 verdict in Rajendra N. Shah confirmed that Part IXB cannot bind State-registered cooperatives without state ratification of the 97th Amendment.
  - The creation of a Union Ministry of Cooperation, alongside new national-level multi-state apex bodies (NCEL, NCOL, BBSSL), has drawn concern
- **Legacy Financial Fragility in Cooperative Credit**
  - The Vaidyanathan Committee (Task Force on Revival of Rural Cooperative Credit Institutions, RBI, 2004) found the short-term cooperative credit structure — with huge accumulated losses, high NPAs, and erosion of deposits and assets. I
  - It noted cooperatives' share in agricultural credit had fallen from 62% (1992-93) to 34% (2002-03) as commercial banks and, later, microfinance/NBFCs expanded.
- **Cooperative Banking Failures and Depositor Risk**
  - The 2019 Punjab and Maharashtra Cooperative (PMC) Bank crisis — involving large concealed exposure to a single corporate group in breach of RBI norms — exposed the risks of 'dual regulation' (State Registrar for administration, RBI for banking prudential norms).
  - Urban Cooperative Banks reported nearly 1,000 fraud cases worth over ₹220 crore in the preceding five years.
- **Structural and Operational Weaknesses**
  - Fragmentation and small scale: cooperatives are typically small, localised, and poorly networked, limiting bargaining power against 'hyper-scaler' corporate and platform competitors.
  - Professional management deficit: shortage of trained managers, accountants and technical staff, especially at the PACS level; heavy reliance on part-time, often untrained, secretaries.
  - Digital divide: computerisation targets (63,000 PACS by March 2027) still leave a substantial tail of PACS outside the ERP net, especially in remote/hilly and North-Eastern States.
  - Undercapitalisation: many PACS and Primary Cooperative Agriculture and Rural Development Banks (PCARDBs) suffer chronic under-capitalisation, restricting their ability to diversify into capital-intensive activities like storage or retail fuel outlets.
  - Cooperative-competitive tension: expansion into new sectors (mobility, fuel retail, pharmacy) places cooperatives in direct competition with established private players, without guaranteed economies of scale.
- **Sugar and Credit Legacy Stress**
  - Cooperative sugar mills have historically suffered from delayed cane payments, inefficiency and populist State Advised Price (SAP)/Fair and Remunerative Price (FRP) obligations exceeding cost recovery, necessitating repeated Central bailouts (tax exemptions, NCDC loan schemes, ethanol-linked diversification) rather than organic turnaround.



Way Forward: Solutions and Reform Priorities

- **Institutionalise professional management**: mandate qualified CEOs/managers for PACS above a threshold turnover, supported by shared-service back-office models (as under NUCFDC's Sahakar CBS) to reduce per-unit compliance cost.
- **Complete digitalisation with data-linked accountability:** extend e-PACS/ERP coverage to the full sanctioned base by the March 2027 deadline, and integrate audit, election, and financial data into the National Cooperative Database for real-time public transparency
- **Strengthen and depoliticise elections:** enforce Part IXB-equivalent timelines for board elections uniformly through State legislation (since Part IXB itself does not bind States post-2021 verdict), with State Cooperative Election Commissions insulated from administrative interference.
- **Close audit gaps:** prioritise the ~68,000 unaudited functional societies (10%+ of the functional base) through time-bound special audit drives, potentially outsourcing to empanelled chartered accountants where State audit capacity is thin (as seen acutely in J&K, UP, West Bengal).
- **Deepen access to capital**: expand NUCFDC/NABARD-backed recapitalisation and bond issuance (as already permitted for NCDC) to strengthen Tier-I capital of financially fragile cooperative banks and PACS, tied to governance benchmarks
- **Balance nationalisation with federalism:** ensure new national apex bodies (NCEL, NCOL, BBSSL) function as genuinely member-owned, bottom-up federations rather than top-down Central instrumentalities, and pursue cooperative federalism by giving States a formal role in the National Steering Committee/Policy Implementation and Monitoring Committee structures under the NCP 2025.
- **Diversify prudently:** sequence new business lines (fuel retail, pharmacy, mobility) based on local cooperative capacity and market feasibility studies rather than uniform national targets, to avoid distressed assets.
- **Leverage the cooperative-SHG-FPO continuum:** formally converge PACS, SHGs and FPOs into common value chains (input supply, processing, marketing) to reduce duplication and build scale for market linkage, especially for women producers.
- **Learn selectively from global worker-cooperative models:** adapt (not replicate) elements of the Mondragon experience — in-house training/education arms, an internal cooperative bank, and profit-sharing tied to community reinvestment — to Indian producer and service cooperatives, while being alert to Mondragon's own documented governance tensions around its overseas/non-member workforce.

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A Non-Governmental Organisation (NGO) is a voluntary, self-governing, not-for-profit entity formed by citizens to pursue social, developmental, cultural, environmental, religious or advocacy objectives, without direct government control. NGOs form part of the wider ecosystem often called civil society or the 'third sector' — distinct from the State (first sector) and the market (second sector).

1. Constitutional Basis

Article 19(1)(c)
Fundamental right to form associations, unions and co-operative societies — the bedrock of NGO formation.

Article 19(4)
Permits reasonable restrictions in the interest of sovereignty, integrity of India, public order, or morality — constitutional anchor for FCRA-type regulation.

Directive Principles (Part IV)
Articles 38, 39, 41, and 47 obligate the State to promote welfare; NGOs are often treated as instruments furthering these goals where State capacity is limited.

Article 43 + Co-operative Movement
Read with the 97th Constitutione Amendment (2011), this recognises cooperative / voluntary collective action. In *Union of India v. Rajendra N. Shah* (2021), the compulsory application to State co-operative societies was partly struck down for want of State ratification under Article 368(2).

Core idea: The Constitution protects associational freedom, permits reasonable regulation, and aligns voluntary action with welfare goals.

2. Statutory and Fiscal Framework

	Instrument	Regulator	Purpose
1	Societies Registration Act, 1860	State Registrar of Societies	Incorporation of societies
2	Indian Trusts Act, 1882 / State Public Trusts Acts	State Charity Commissioner	Trust registration and asset governance
3	Companies Act, 2013, Section 8	Ministry of Corporate Affairs (RoC)	Non-profit companies; mandatory CSR spending under Section 135 for qualifying companies
4	Income Tax Act, 1961 — Sections 12A/12AB, 80G, 10(23C)	CBDT / Income Tax Department	Tax exemption for NGO income; tax deduction for donors
5	FCRA, 2010 (as amended) + FCRR, 2011 (as amended 2026)	Ministry of Home Affairs	Regulation of foreign contributions
6	NGO-Darpan / NITI Aayog guidelines	NITI Aayog	Unique ID for accessing government grants and as a CSR / FCRA prerequisite
7	CSR Rules, 2014 (Form CSR-1)	Ministry of Corporate Affairs	Eligibility of NGOs to receive corporate CSR funds

Multiplicity of Regulators
An NGO may simultaneously answer to the State Registrar / Charity Commissioner, Income Tax Department, MCA, NITI Aayog, and MHA — creating a fragmented compliance architecture.

Key theme: partnership with the State, but through layered regulation and compliance.

Historical Evolution
NGOs / Voluntary Sector in India

1 Pre-independence
Rooted in *daana* (charitable giving) and *seva* (service). Reform bodies such as Brahmo Samaj, Arya Samaj, Ramakrishna Mission, and Servants of India Society (1905) linked social reform with nation-building.

2 1950s–70s
Post-independence state-led development dominated. NGOs mainly worked in welfare and relief, including famine relief and refugee resettlement. Key examples: CASA, Gandhian constructive-work network, Bharatan Kumarappa, Vinoba Bhave's Bhoodan movement.

3 1970s–80s
Rights-based turn. Grassroots movements such as Chipko and SEWA (1972) emerged. Advocacy-oriented NGOs grew in response to State excesses during the Emergency. FCRA, 1976 was enacted in this period.

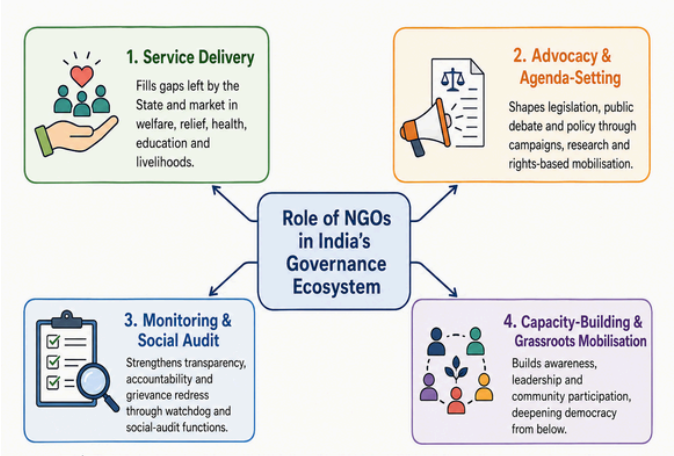
4 1991 onward
Post-liberalisation expansion. Economic reforms and donor funding increased. National Policy on the Voluntary Sector, 2007 formalised NGO–government partnership. NGO/movement influence was visible in RTI 2005, MGNREGA 2005, Forest Rights Act 2006, and RTE 2009.

5 Post-2010
Current phase of regulated partnership. Professionalisation, CSR-driven funding under Companies Act, 2013 (Section 135), tighter FCRA regulation (2010, 2020, 2026), and NGO-Darpan digital interface.

Overall trend: From charity and welfare → rights-based activism → professionalised and regulated partnership.

Indicator	Figure
Registered NGOs on NGO-Darpan (all-time registrations)	Over 1.5 crore organisations registered on the portal (2026) - NITI Aayog / NGO-Darpan
NGOs listed in earlier NGO-Darpan directory count	≈ 1.87 lakh NGOs (2023 snapshot; UP, Maharashtra, Delhi, WB top states) - NITI Aayog / NGO-Darpan
Active FCRA-registered NGOs	14,456 as on June 2026 (down from a peak of over 33,000 pre-2015) - MHA
FCRA registrations cancelled, 2018-22	1,827 NGOs (violations of FCRA, 2010) - MHA
FCRA registrations cancelled since 2015 (cumulative)	Over 18,000 NGOs - MHA
Foreign contribution received by FCRA NGOs, FY 2021-22	₹905.50 crore - MHA
India's social-sector spending (public + private), FY 2023	≈ ₹23 lakh crore (≈ 8.3% of GDP) Bain & Co., India Philanthropy Report 2024
Private philanthropy, FY 2023	≈ ₹1.2 lakh crore (10% annual growth) - Bain & Co., India Philanthropy Report 2024
NITI Aayog SDG-financing benchmark	≈ 13% of GDP needed to meet 2030 SDG targets - Niti Aayog

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Role and Importance of NGOs Across Sectors

- **Education**
  - Pratham, founded in 1994, is India's largest NGO working in elementary education; its Annual Status of Education Report (ASER), a citizen-led household survey conducted since 2005, remains the largest non-government source of data on foundational learning outcomes in rural India and has directly influenced the design of the NIPUN Bharat Mission (foundational literacy and numeracy) launched by the Ministry of Education in 2021.
  - Akshaya Patra's mid-day meal partnership under the National Programme of Mid-Day Meals demonstrates NGO-government service delivery at scale, feeding lakhs of children daily across partner States.
- **Health and Nutrition**
  - NGOs implement immunisation outreach, HIV/AIDS awareness, TB elimination support under the National TB Elimination Programme, and maternal-child health interventions in underserved districts.
  -
- **Rural Livelihoods and Women's Empowerment**
  - SEWA (est. 1972, Ahmedabad) organised informal women workers into a trade union and cooperative network; its model of self-help-group (SHG)-based micro-finance directly influenced the design of the National Rural Livelihood Mission (NRLM)/DAY-NRLM's SHG architecture, now covering over 9 crore women through roughly 90 lakh SHGs.
  - PRADAN's work on livelihoods and natural-resource management in central-Indian tribal belts similarly shaped watershed and livelihood components of MGNREGA convergence guidelines.
- **Human Rights, RTI and Governance Accountability**
  - The Mazdoor Kisan Shakti Sangathan (MKSS), through its Rajasthan public-hearing (*jan sunwai*) model in the 1990s, is widely credited as the movement that catalysed the Right to Information Act, 2005 — a textbook case of grassroots NGO advocacy translating into national legislation. Similarly, the Association for Democratic Reforms (ADR) and its NGO-led PILs before the Supreme Court (culminating in the 2002/2003 judgments mandating candidate disclosure) transformed electoral transparency norms.
- **Access to Justice and Legal Aid**
  - NALSA and State Legal Services Authorities empanel NGOs and para-legal volunteers to run Lok Adalats, legal literacy camps and undertrial review committees, extending the formal legal-aid architecture into prisons and remote districts that State machinery alone cannot reach — an important service-delivery partnership under Article 39A.
- **Environment**
  - The Chipko Movement (1973, Uttarakhand) is the paradigmatic case of grassroots environmental mobilisation feeding into national forest policy;
  - the Centre for Science and Environment (CSE) has for decades shaped India's environmental jurisprudence and policy through its research (e.g., on vehicular pollution, leading to the Delhi CNG transition ordered by the Supreme Court in the 1998 M.C. Mehta litigation, in which CSE data was extensively relied upon).
- **Disaster Management and Humanitarian Relief**
  - Goonj and SEEDS India are examples of NGOs institutionalised as first-responders under the National Disaster Management Authority's (NDMA) framework; their material-aid and post-disaster livelihood-restoration models (Goonj's 'Cloth for Work') have been formally recognised as good practice and are frequently cited in NDMA and District Disaster Management Plans.
- **Policy Advocacy and Legislative Influence**
  - Beyond RTI, NGO/movement coalitions were instrumental in the Forest Rights Act, 2006 (tribal-rights coalitions), the Protection of Women from Domestic Violence Act, 2005 (women's-rights groups), and the Right of Children to Free and Compulsory Education Act, 2009.
  - NGOs also routinely appear as intervenors or petitioners before constitutional courts, shaping doctrine — from environmental jurisprudence (M.C. Mehta, a public-spirited litigant) to electoral reform (ADR) to prison reforms (PUCL).
- **The CSR-NGO Funding Nexus**
  - Since Section 135 of the Companies Act, 2013 mandated CSR spending (2% of average net profit) for qualifying companies, NGOs have become the principal implementing channel for corporate welfare spending.

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Issues and Challenges

- **Regulatory Multiplicity and Compliance Burden**
  - Overlapping oversight by State Registrars/Charity Commissioners, Income Tax authorities, MCA (CSR-1), NITI Aayog (Darpan) and MHA (FCRA) imposes disproportionate compliance costs on small and mid-sized NGOs, pushing many toward informality or closure.
- **Shrinking Civil-Society Space**
  - Successive FCRA tightening (2010, 2020, 2026 Rules, and the pending 2026 Bill) has been criticised by UN Special Rapporteurs, Amnesty International and domestic civil-society coalitions as disproportionately restricting the right to freedom of association
- **Transparency and Accountability Deficit within the Sector**
  - The absence of a uniform, mandatory public-disclosure and audit-rating architecture makes it difficult for donors and regulators to distinguish credible organisations from non-genuine or 'letterbox' entities
- **Mushrooming and Misuse**
  - Periodic CAG and MHA findings of diversion of foreign contributions, inflated administrative expenditure, and non-utilisation of funds underline governance gaps; between 2018-22 alone, 1,827 FCRA registrations were cancelled for statutory violations.
- **Funding Volatility and Urban/Regional Bias**
  - CSR and philanthropic funding both show strong urban and 'easy-compliance-geography' bias;
  - CSR flows concentrate disproportionately in a handful of industrial States (e.g., Maharashtra alone attracts roughly 18% of CSR funds), leaving aspirational districts and the North-East comparatively underserved despite NITI Aayog's push to route CSR toward them.
- **Politicisation and Selective Targeting**
  - Opposition parties and civil-society groups have alleged selective use of FCRA cancellation/suspension powers against organisations critical of government policy, citing the pre-2020 vagueness of 'political nature' categorisation (later narrowed by the Supreme Court in Indian Social Action Forum v. Union of India, 2020) and, more recently, concerns around the undefined term 'proselytisation' in the 2026 Amendment Rules.
- **Professionalisation-Grassroots Trade-off**
  - Increasing compliance and reporting demands favour large, professionally staffed NGOs with legal/finance capacity, potentially crowding out genuinely grassroots, community-led organisations that lack such capacity — a tension between accountability and inclusiveness.
- **Data and Monitoring Gaps**
  - Despite NGO-Darpan, India still lacks a single authoritative, continuously updated national register cross-verified against tax, corporate and banking data — leading to wide variance in even basic figures such as the total number of active NGOs.

Way Forward

- **Single-window regulatory interface**:
  - Integrate State registration, 12AB/80G, CSR-1 and FCRA compliance data on a unified digital platform (building on NGO-Darpan) to cut duplicate filings while preserving each regulator's substantive scrutiny.
- **Graded, risk-based regulation:**
  - Move from a uniform compliance regime to a risk-tiered model — lighter-touch for small, purely domestic-funded, service-delivery NGOs; enhanced scrutiny calibrated to foreign-funding volume and sectoral sensitivity, as recommended in various NITI Aayog voluntary-sector consultations.
- **Self-regulation and rating architecture:**
  - Encourage sector-led accreditation/rating bodies (on the lines of Credibility Alliance, GuideStar India) with statutory recognition, so that transparent, well-governed NGOs are rewarded with lighter compliance and better donor access.
- **Calibrated FCRA reform:**
  - Retain the legitimate national-security rationale while narrowing vague or overbroad terms (e.g., 'proselytisation', 'political nature') through statutory definition, consistent with the Supreme Court's 'read-down' approach in INSAF (2020), to reduce arbitrariness and litigation.
- **Strengthen CSR-NGO capacity building:**
  - Encourage corporates to fund NGO institutional/administrative capacity (not just projects) and direct a defined share of CSR toward under-served aspirational districts and the North-East, as NITI Aayog has urged.
- **Independent grievance and appellate mechanism:**
  - A time-bound appellate authority for FCRA suspension/cancellation orders (distinct from ordinary writ jurisdiction) would improve due process without diluting regulatory oversight.
- **Periodic parliamentary review:**
  - Given the cumulative and significant impact of successive FCRA amendments since 2010, referring major amendments (such as the pending 2026 Bill) to a Standing/Joint Parliamentary Committee — as demanded by several Opposition MPs — would improve legislative scrutiny and stakeholder consultation.

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- ***The FCRA, 2010 regulates acceptance and utilisation of foreign contribution and foreign hospitality by individuals, associations and companies, to ensure that such inflows do not adversely affect national interest, public order or national security, and that they are utilised for the purpose for which they are received.***
- ***It applies to donations from any 'foreign source' as defined in Section 2(1)(j), including foreign governments, foreign companies, international agencies and foreign nationals (with limited exceptions such as relatives).***

Provision	Key Rule
Registration (S. 11-12)	NGOs must register (5-year validity, renewable) or take prior permission for a specific activity/donor before accepting foreign contribution.
Prohibited persons/purposes (S. 3-4)	Election candidates, editors/owners of registered newspapers, judges, government servants, legislators, political parties/office-bearers and organisations 'of a political nature' are barred from accepting foreign contribution
Designated bank account (S. 17, as amended 2020)	Foreign contribution must be received only in a single FCRA account at the SBI New Delhi Main Branch (NDMB); a separate 'utilisation account' may be opened at a bank of choice.
Administrative expenditure cap (S. 8)	Not more than 20% of foreign contribution received in a year may be used for administrative expenses (reduced from 50% by the 2020 Amendment).
Prohibition on sub-granting (S. 7, as amended 2020)	Foreign contribution cannot be transferred to any other person/association, including another FCRA-registered NGO — ending the earlier practice of large NGOs sub-granting to smaller grassroots partners.
Aadhaar mandate (S. 12, as amended 2020)	Aadhaar number mandatory for all office bearers/key functionaries at the time of registration or renewal; passport/OCI card for foreign nationals.
Annual returns (Form FC-4)	Mandatory annual return with audited statement of foreign contribution received and utilised, filed online.
Suspension/cancellation (S. 13-14)	Registration may be suspended (up to 180 days, extendable) or cancelled for violation; a cancelled entity is barred from applying afresh for three years.
Vesting of assets (S. 15, being replaced)	Provides for vesting of assets on cancellation — the provision the pending 2026 Bill substantially overhauls

Year	Instrument	Key Change
2018	Finance Act, 2018 amendment to FCRA, 2010	Amended the definition of 'foreign source' with retrospective effect from 1976, to exempt companies with foreign investment (within permissible FDI limits) from being treated as a 'foreign source' — enabling political funding via such entities.

Noel Harper v. Union of India (2020) : upheld the constitutionality of the FCRA (Amendment) Act, 2020 in its entirety

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FCRA Amendment Rules, 2026 (In force)

Key Changes

- **Purpose- and geography-specific registration:** Every application for registration/renewal must now specify the exact purpose(s) — chosen only from a Schedule of listed purposes — and the States/Union Territories in which the association proposes to operate. General, open-ended FCRA permission is no longer available.
- **Fee per purpose and per State/UT:** A separate registration fee applies for each specified purpose and for each State or Union Territory of operation — meaning NGOs working across multiple sectors or States face significantly higher aggregate registration costs.
- **Schedule of permissible purposes:** The amended Rules specify 22 activities under the educational category (with a qualifier that awareness programmes on constitutional rights/fundamental duties/civic responsibilities must be 'strictly non-political in nature'), 18 categories under cultural purpose (including 'promotion of contemporary arts inspired by Indian traditions', excluding political or ideological content), 16 categories of religious activity (including religious education, moral instruction, satsangs, discourses and meditation retreats, but explicitly excluding proselytisation, and including burial/cremation ground development), 19 categories under the economic purpose, and 30 items under the social category.
- **One-year transition window**: Associations already FCRA-registered before 22 June 2026 must, within one year (by 21 June 2027), file Form FC-6F specifying the purpose(s) and State(s)/UT(s) for which they seek to retain registration.
- **Broadened definition of 'key functionary'**: Expanded beyond office bearers and directors to formally and inclusively cover trustees, partners, the Karta of a Hindu Undivided Family, governing-body members, and any person exercising control over or responsibility for the management of the association — replacing a patchwork of undefined terms used inconsistently across the Act and Rules.
- **Foreign key functionaries:** Codifies (previously informal FAQ-based) guidance that associations with foreign nationals (other than persons of Indian origin) as key functionaries will ordinarily require specific prior government approval, subject to case-by-case exceptions.
- **Enhanced disclosure (Form FC-4)**: Mandatory disclosure of social media accounts and websites, and a declaration on whether the association or its key functionaries have brought out any publication (books, magazines, newspaper articles) during the year.
- **Tighter instalment-release conditions (new Rule 9A)**: For prior-permission grantees, release of a second or subsequent instalment of foreign contribution now requires filing Form FC-3BB, utilisation of at least 75% of the previous instalment, a field inquiry by the Ministry, a CA-certified utilisation certificate, bank statements and a photographic activity report.
- **Explicit ban on proselytisation:** Religious-purpose registration explicitly excludes activities amounting to proselytisation (religious conversion) — a term left undefined in the Rules, which is itself the principal source of controversy

Foreign Contribution (Regulation) Amendment Bill, 2026 (Pending)

Primary Issue : creation of a Designated Authority to supervise, manage, and dispose of the foreign contribution and any assets created from it, whenever an organisation's FCRA registration is cancelled, surrendered, or otherwise ceases

Way Forward on FCRA

- **Statutory definitions for contested terms:** Define 'proselytisation', 'political nature' and other discretion-conferring terms in the Act/Rules itself (rather than leaving them to administrative interpretation), incorporating the Supreme Court's INSAF (2020) narrowing.
  - Indian Social Action Forum (INSAF) v. Union of India (2020) : only organisations connected with active or party politics — not those merely supporting public causes through legitimate dissent such as bandhs, hartals or strikes — could be classified as being of a 'political nature' and thereby barred from foreign funding. This judgment remains the key doctrinal safeguard against overbroad use of the 'political nature' bar.
- **Time-bound, reasoned suspension/cancellation orders:** Statutorily mandate reasoned, time-bound orders with a structured appellate mechanism, reducing reliance on writ litigation as the only recourse.
- **Proportionate treatment of the Designated Authority's asset powers:** Given the disposal/permanent-transfer power in the pending Bill, build in judicial or quasi-judicial oversight before assets are permanently disposed of, and a realistic, extendable window for organisations to secure fresh registration before assets are treated as permanently vested.
- **Parliamentary scrutiny:** Refer significant future amendments to a Standing/Joint Parliamentary Committee, given the scale, cumulative impact, and stakeholder concern already evident around the 2026 Bill, to build broader legislative consensus and consultation.
- **Simplify compliance for low-risk NGOs:** Introduce a lighter-touch, lower-fee compliance track for small NGOs with modest, single-purpose foreign funding, reserving intensive purpose/geography-specific scrutiny for higher-value or sensitive-sector recipients.
- **Publish aggregate compliance data regularly:** Institutionalise periodic public reporting (beyond ad hoc Parliament questions) on FCRA registrations, cancellations, penalties and utilisation patterns to build public trust and enable independent research and accountability.
- **Dialogue with faith-based and minority-serving organisations:** Given specific apprehensions raised by the Catholic Bishops' Conference of India and the Kerala Assembly, structured pre-legislative consultation with affected religious/minority-welfare organisations would improve both legitimacy and drafting precision of contested provisions.